Real estate has many characteristics of a small business as well. It provides a tax shelter, allows you to incorporate leverage, and enables you to use your knowledge and sweat equity to amplify returns. You must do some upfront work to select a good property. You need to do the work yourself or hire and supervise others to maintain properties. Finding good tenants and screening out bad ones is also vital to your success. The number and quality of your investments and your management style and efficiency all factor into how much work is involved.

These factors allow real estate investors to achieve higher returns and more income than can be expected using passive investments. But remember, that’s because they’re not passive. Like other small businesses, they require more effort than a truly passive investment.

Combining Strategies

It makes sense to focus on one strategy to avoid being overwhelmed when getting started, but it’s important to understand you’re not limited to just one strategy. There are many ways to combine investment strategies to accelerate the path to FI. These